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Plant and machinery	41,500	
Land and building	26,450	
Sundry creditors		20,000
Sundry debtors	32,500	
Cash in hand	11,629	
Opening stock	2,500	
	10,38,044	10,38,044

Additional information:

(a) Closing stock is valued at ` 15,500

(b) Write off ` 500 as bad debts and create a provision for bad debts @ 10% on debtors.

(c) Depreciation @ 10% required

(**Answer**: Gross profit ` 85,710; Net profit ` 7,035; Balance sheet total: ` 1,19,729)

21. From the following trial balance of Subramaniam, prepare his trading and profit and loss account and balance sheet as on 31st December, 2016.

Debit balance	`	Credit balance	`
Stock (on 1-1-2016)	36,000	Sundry creditors	44,000
Furniture	62,600	Capital	50,000
Sundry Debtors	32,000	Sales	1,60,000
Cash at bank	6,000	Returns outward	4,000
Purchases	80,000	Discount received	2,200
Drawings	1,000	Bills payable	10,600
Returns inward	10,000		
Salaries	21,200		
Freight on purchases	22,000		
	2,70,800		2,70,800

Take into account the following adjustments:

(a) Charge interest on drawings at 8%.

(b) Outstanding salaries ` 3,000

(c) Closing stock was valued at ` 48,000

(d) Provide for 5% interest on capital.

(**Answer**: Gross profit ` 64,000; Net profit ` 39,580; Balance sheet total ` 1,48,600)